INSTITUTIONAL RESEARCH / 6 NOVEMBER 2026

OpenAI Investment Due Diligence

OpenAI’s funding scale makes cash visibility more important

ChatGPT distribution, enterprise products and the API create several revenue channels. Public funding announcements leave key questions about profitability, liquidity and the cost of serving demand.

Field	Research scope
Company and security	OpenAI / Private
Sector and scope	Frontier AI products and infrastructure / Private company
Research question	Can consumer distribution and enterprise monetization fund compute after realistic cash and governance constraints?
Disposition	Investigate further. Committee decision: defer.
Valuation result	Withheld pending verified cash economics and capital structure.
Capital and return	No purchase price, allocation, sponsor IRR or MOIC is proposed.
Prepared by	Nexus Research Desk. Public evidence review. Independent sign-off pending.

Investment thesis

A broad distribution base creates room for subscription, enterprise and API monetization. The underwriting case depends on contribution margin after compute, recurring customer spend and funding against contractual capacity.

High usage and committed capital can coexist with negative cash flow, declining unit pricing, and high dependence on a small number of infrastructure partners.

Require audited standalone accounts, signed compute contracts and a fully diluted cap table before proposing a value or allocation.

The evidence standard separates audited and interim filings, issuer announcements and analyst assumptions. The proposed research horizon is five years. No investment confidence rating is assigned while material items remain open.

Abstract and Contents

This buy-side public-evidence review examines OpenAI across financial, commercial, operating, governance and valuation workstreams. ChatGPT distribution, enterprise products and the API create several revenue channels. Public funding announcements leave key questions about profitability, liquidity and the cost of serving demand. The research cutoff is 6 November 2026. The objective is to identify the evidence that would justify an investment decision and to distinguish demonstrated operating changes from hypotheses about future cash generation.

The March announcement describes $122B of committed capital at $852B post-money. Dividing the figures gives 14.3% as a scale comparison only. It is not a dilution estimate because instrument terms, timing and cap-table effects are unavailable. There is no verified traded return series for the security in scope. The quantitative review therefore uses a deterministic operating stress and tests the direction and consistency of the results. It makes no statistical claim about price movements or default probability.

The model review traces cash flow to operating inputs and separates filed figures from assumptions. A linked three-statement forecast, verified financing terms and independent reviews are outside the available evidence. The conclusion is further work required. Require audited standalone accounts, signed compute contracts and a fully diluted cap table before proposing a value or allocation. The risk register identifies a resolution and owner for each material finding, so a later review can test whether the original concerns were addressed before authorizing price or capital.

Keywords: investment diligence, OpenAI, cash conversion, source verification, scenario analysis.

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1 Introduction and Scope

Posture: independent, buy-side-style research using public evidence. No mandate, offer, access to a virtual data room, management interview or committee approval is assumed.

Trigger: OpenAI's funding scale makes cash visibility more important. Can consumer distribution and enterprise monetization fund compute after realistic cash and governance constraints?

Dimension	Included	Excluded or limited
Period	Available audited history, matched interim data and disclosures through 6 November 2026.	Events after cutoff and unpublished records.
Entities	Named company and relevant disclosed operations.	Independent diligence on partners, JVs and minority holdings.
Workstreams	Financial, commercial, valuation, event, news, policy and operating screen.	Full contract, tax, cyber, HR and ESG assurance.
Evidence	Issuer and regulatory filings, dated announcements and market data where verified.	Private records, unconfirmed consensus forecasts and source data without dates.
Depth	Red-flag screen with explicit tests and decision gates.	Confirmatory audit, legal opinion and executable investment price.

Limitations and reliance

No audited standalone income statement, balance sheet or cash-flow series was verified in the public sources reviewed. Announced commitments are tracked separately from company financials.

An untested hypothesis remains open. This report cannot establish the absence of unrecorded liabilities, undisclosed commercial exposures or a material adverse change in a contract that was not reviewed.

Research posture and decision boundary

Workstream leads should reproduce factual tests and escalate unresolved items before price, capital structure or contract terms are negotiated. No owner in the register is represented as having signed off.

2 Universal Workstream Findings

Headline conclusion: further work required. The scope is a public red-flag review. Materiality is high when a finding can change sustainable cash flow, funding capacity, control or a pricing decision. Medium items affect interpretation but do not independently establish a valuation change.

FIN-01 6A High

The March announcement describes $122B of committed capital at $852B post-money. Dividing the figures gives 14.3% as a scale comparison only. It is not a dilution estimate because instrument terms, timing and cap-table effects are unavailable.

Resolution: Reconcile recurring earnings and cash before pricing. Owner: Finance. Timing: before committee. Source context

MOD-01 6B High

Standalone cash drivers do not support a full model.

Resolution: Rebuild or withhold the valuation until inputs tie to evidence. Owner: Model lead. Timing: before committee. Evidence: calculation or workpaper in Module 6B.

EVT-01 6C Medium

No verified public event-window return series.

Resolution: Treat the event as context. Re-test against a sector benchmark when supported. Owner: Quant. Timing: before committee. Evidence: calculation or workpaper in Module 6C.

NWS-01 6D High

OpenAI states that its Foundation controls OpenAI Group PBC through special voting and governance rights. Investment rights and board control need separate underwriting.

Resolution: Escalate for contract or filing review and revise cash assumptions if supported. Owner: Research. Timing: before committee. Source context

POL-01 6E High

Review nonprofit board rights, PBC purpose, related-party terms, copyright and privacy litigation, and independent safety and incident reporting.

Resolution: Model verified compliance or distribution changes separately before underwriting. Owner: Legal. Timing: before committee. Source context

OPS-01 6F High

Build a quarterly bridge from opening unrestricted cash through operating flows, signed capacity schedules, restricted amounts and financing tranches. Counterparty filings describe their own exposure and cannot establish OpenAI’s consolidated liquidity.

Resolution: Obtain capacity and obligations schedules, then stress funding. Owner: Operations. Timing: before committee. Source context

3 Governance SOP and Information Sources

R = responsible. A = accountable. C = consulted. I = informed. These are proposed roles for follow-up, not evidence of staffing or sign-off.

Activity	Deal lead	Workstream	Counsel	Advisor	IC
Scope and requests	A	R	C	C	I
Evidence and tests	C	R	C	R	I
Red flag escalation	R	R	C	C	A
Resolution design	R	C	R	C	A
Sign-off	R	C	C	C	A

Phase	Procedure	Output
Triage	Locate filings, date market data and identify unresolved risks.	Initial scope and hypotheses.
Confirmatory	Rebuild figures, freeze assumptions, test sensitivities and inspect signed terms.	Reproducible tests and evidence log.
Resolution	Choose model adjustment, contractual protection, holdback or evidence-based risk acceptance.	Documented committee decision.

Information source	Used for	Limit
Issuer filing or equivalent	Reported financials and disclosure review	Interim periods and commentary may be unaudited.
Issuer or partner announcement	News and financing context	Company-reported terms require independent confirmation.
Market data	Return, volume and event tests	No causal attribution from broad-market adjustment alone.
Financial workbook	Base scenario and controls	No linked three-statement build.

4 Target and Commercial Overview

Can consumer distribution and enterprise monetization fund compute after realistic cash and governance constraints?

A broad distribution base creates room for subscription, enterprise and API monetization. The underwriting case depends on contribution margin after compute, recurring customer spend and funding against contractual capacity.

Business line	Monetization	Operating evidence to request
ChatGPT	Consumer subscriptions and product distribution	Paid conversion and retention
Enterprise and coding	Business tools and deployment	Contract duration, expansion and concentration
API and infrastructure	Usage monetization and partner arrangements	Net price per workload and fully loaded compute cost

Market opportunity and customer segmentation

Estimate TAM as eligible workloads or customers multiplied by addressable spending. Filter for reachable products, geographies and customer segments to estimate SAM. No single market-size number is supported by the evidence reviewed.

Bridge growth by volume, realized price, mix, acquisition and churn. Measure cohorts at a consistent starting date. Distinguish sold capacity from utilization, contract value from revenue, and subscription growth from changes in reporting mix.

Pricing power and retention

Benchmark Anthropic, Gemini and open models by workload reliability, paid adoption and cost per successful task. Financing marks across different preferred rights and dates cannot support a comparable EV multiple.

Use renewal, discount and migration data to test switching costs. Long contracts can delay churn recognition. Check what happens when the buyer can switch at renewal and has measured performance from competing products.

Commercial disconfirmation

High usage and committed capital can coexist with negative cash flow, declining unit pricing, and high dependence on a small number of infrastructure partners.

Request comparable cohort metrics, concentration by channel and contract samples. Verify claims against dated filings, customer references and channel evidence. Document any commercial thesis that depends on management assertions alone.

4A Competitive Position and Industry Structure

The Five Forces ratings are analyst assessments of economic pressure. They are hypotheses for commercial testing.

Force	Pressure	Evidence and implications
Rivalry	High	Anthropic, Google, other commercial providers and open models compete across consumer and enterprise workflows.
New entrants	Moderate	Compute and data constrain frontier training. Smaller competitors can enter at the application and specialization layers.
Suppliers	High	Cloud and chip availability shape economics. Contracts can reduce flexibility when workload demand changes.
Buyers	High	Enterprise customers negotiate prices and may route between models. Switching costs differ by integration depth.
Substitutes	High	Open-weight models, lower-cost task-specific systems and conventional software can deliver selected outcomes.

SWOT	Assessment
Strength	Wide distribution and several paid channels.
Weakness	Public disclosure lacks verified standalone cash flow and cohort economics.
Opportunity	Enterprise workflows and inference efficiency may increase contribution.
Threat	Price pressure, expensive capacity and governance rights can reduce investor flexibility.

Benchmark and concentration checks

Benchmark Anthropic, Gemini and open models by workload reliability, paid adoption and cost per successful task. Financing marks across different preferred rights and dates cannot support a comparable EV multiple.

Compare data at the same date and normalize reporting perimeters. Request top-customer and supplier shares, renewal dates and cancellation rights. Segment totals alone cannot establish customer-level concentration.

5 Thesis Hypotheses and Testing Plan

ID	Falsifiable hypothesis	Test and decision rule	Module
H1	Reported performance can be separated from one-off and cash timing effects.	Reconcile EBIT, net income and cash. Unexplained or recurring adjustments keep the claim open.	6A
H2	The model's operating bridge is consistent with its historical anchor.	Rebuild FCFF and compare capex intensity with history. A full linkage pass requires balance sheet and schedules.	6B
H3	The disclosure window contains movement beyond a broad market model.	Compare event CAR to estimation residual windows. Isolated attribution requires a credible confounder screen.	6C
H4	The disclosed event merits further diligence.	Check quantitative scale and qualitative change. Apply the analytical threshold as a triage test only.	6D
H5	A policy or contractual shock has a measurable downside channel.	Trace a defined cost shock to cash or enterprise value. A policy estimate requires verified terms.	6E
H6	Material operating commitments can be funded in a downside.	Request timed obligations, utilization and signed financing. No pass without evidence of liquidity coverage.	6F

Hypothesis discipline

A reproduced identity does not confirm sustainability. A quantified sensitivity does not establish probability. Review the disposition of each hypothesis in Section 9.

6A Forensic Filing and Financial Review

No audited standalone income statement, balance sheet or cash-flow series was verified in the public sources reviewed. Announced commitments are tracked separately from company financials.

Funding announcements, preferred investment balances and operating results are different evidence classes. Reconcile any overlap before comparing or aggregating financing amounts.

Public evidence	Amount / status	Interpretation
March financing	$122B committed	Verify closing conditions and timing of unrestricted cash.
March financing value	$852B post-money	A dated reference. Confirm capitalization and security rights.
Amazon Q3 investment	$50B recorded	Counterparty preferred investment. Reconcile overlap with financing disclosures.
Annual and TTM statements	Unavailable	Revenue, margin, cash flow and net debt withheld.

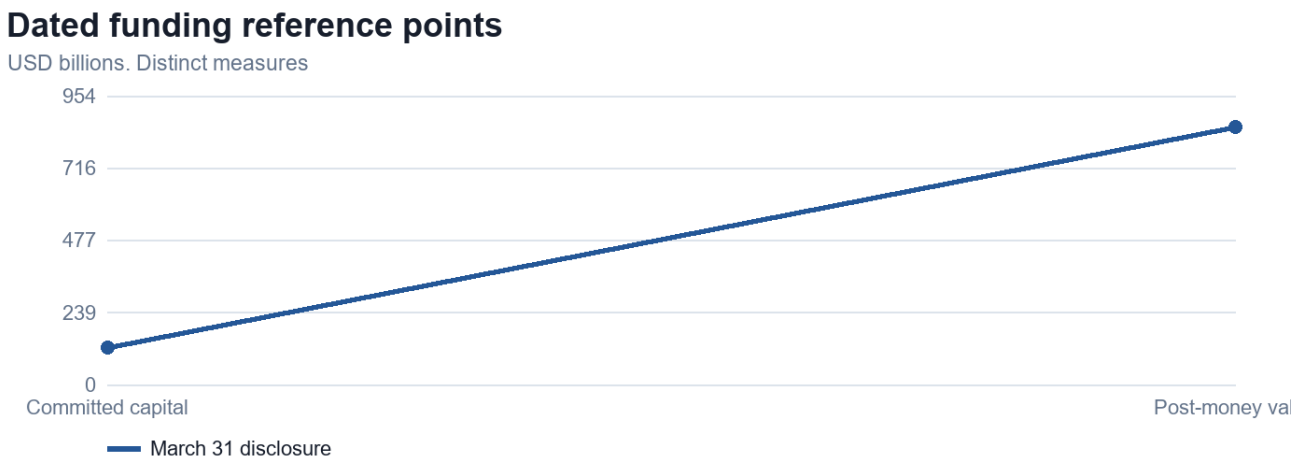


Figure 1. Two measures from a single funding announcement. The line represents no time trend.

Financial evidence request

Obtain audited statements, recognized revenue by channel, and schedules for stock compensation, capex, lease additions, cloud prepayments and financing tranches.

6A Filing Map and Accounting Review

No audited standalone filing equivalent was verified. Counterparty filings and issuer disclosures answer narrower questions than consolidated accounts.

Location	Diligence relevance	Verification action
Issuer funding announcement	Committed capital and post-money mark	Verify tranche closing and instrument terms.
Amazon quarterly filing	Counterparty investment and commercial arrangements	Avoid treating counterparty accounting as issuer cash.
Issuer governance disclosure	Foundation control and operating group	Obtain charter, voting and security records.

Narrative versus financial evidence

The March announcement describes $122B of committed capital at $852B post-money. Dividing the figures gives 14.3% as a scale comparison only. It is not a dilution estimate because instrument terms, timing and cap-table effects are unavailable.

Separate committed capital, drawn cash, recognized revenue and partner investment accounting. The reported March financing is a dated announcement. Obtain audited statements and reconcile paid usage to recognized revenue, gross profit, stock compensation and cash.

Accounting area	Review outcome or required test
Revenue recognition	Trace reported segment and net/gross presentation to contracts. Contract-level cutoff unavailable.
Compensation and useful lives	Review revisions, stock expense and depreciation assumptions over comparable periods. No comprehensive policy-change audit completed.
Allowances and contingencies	Reconcile collectibility, related-party claims and legal estimates with cash or subsequent disclosures.

6A Quality of Earnings and Liquidity

Separate committed capital, drawn cash, recognized revenue and partner investment accounting. The reported March financing is a dated announcement. Obtain audited statements and reconcile paid usage to recognized revenue, gross profit, stock compensation and cash.

Build a quarterly bridge from opening unrestricted cash through operating flows, signed capacity schedules, restricted amounts and financing tranches. Counterparty filings describe their own exposure and cannot establish OpenAI's consolidated liquidity.

Test	Procedure	Evidence standard
Revenue recognition	Tie reported revenue to contracts, service periods and cash receipts.	Inspect deferred revenue and cutoff.
Exceptional items	Bridge EBIT and net income. Isolate financing or fair-value effects.	Quantify adjustments and justify recurring treatment.
Working capital	Bridge receivables, inventory, payables and customer prepayments.	Confirm same-season comparisons and post-period cash.
Reinvestment	Separate cash capex, leases, hosting costs and prepayments.	Verify timing and contract definitions.
Liquidity	Bridge unrestricted cash and funding to maturities and commitments.	Require signed facilities and availability checks.

Financing cross-check

The March announcement describes $122B of committed capital at $852B post-money. Dividing the figures gives 14.3% as a scale comparison only. It is not a dilution estimate because instrument terms, timing and cap-table effects are unavailable.

Unresolved reconciliation

Normalize cash conversion before underwriting a margin. Record the timing of each material obligation and compare collection periods with the cash required to deliver contracted capacity. Any proposed price remains contingent on this reconciliation.

6B Financial Model and Valuation Review

Valuation is withheld pending sufficient evidence on sustainable margins, reinvestment, capacity obligations, net debt and fully diluted ownership. A reported financing valuation can frame questions about security terms but cannot establish enterprise or common equity value.

Method	Decision	Activation condition
DCF	Withheld	Verify operating cash conversion and capital structure.
Trading peers	Withheld	Normalize business mix, leases and security rights.
Precedents	Withheld	Verify comparable transactions and control premiums.
Sponsor returns	Out of scope	Obtain an actual control transaction with financeable terms.

Market comparables and entry discipline

Benchmark Anthropic, Gemini and open models by workload reliability, paid adoption and cost per successful task. Financing marks across different preferred rights and dates cannot support a comparable EV multiple.

Calculate EV / revenue, EBITDA and EBIT only after aligning fiscal periods and adjusting leases and nonoperating investments. P/E and free cash flow yield require a defensible equity basis. No maximum price or margin of safety is estimated.

6B Linkage and Driver Tests

The companion workbook is an operating FCFF and enterprise-value model where sufficient inputs exist. It has no fully linked balance sheet, retained earnings, debt, revolver or cash flow statement rollforward. A three-statement balance vector is therefore unavailable.

Linkage	Status	Evidence needed
EBIT and cash flow	Incomplete	Normalized operating bridge and cash expense allocation.
Working capital and PP&E	Unavailable	Dated operating schedules, including hosting and lease commitments.
Debt and equity	Unavailable	Fully diluted ownership, preferred rights, revolver and maturity ladder.
Balance check	Unavailable	A populated, linked period-by-period balance sheet.

Model resolution

Hold valuation until evidence supports a cash build. Use explicit operating stresses only. Reconcile the eventual model to opening and closing balances with zero-growth and capex-spike tests.

6C Stock Movement and Event Study

No verified traded series is available for the security. A dated disclosure is reviewed in Module 6D. No abnormal return, volume, liquidity, earnings surprise or post-event drift is estimated.

Future event-study protocol

Confirm listing, security class and first liquid trading date. Define an estimation window before the event and use a market and industry benchmark. Record release time and screen for concurrent financing, sector news and macro announcements before attributing any residual.

6D News and 6E Policy Impact

Disclosure and materiality screen

OpenAI states that its Foundation controls OpenAI Group PBC through special voting and governance rights. Investment rights and board control need separate underwriting.

The funding announcement is material to underwriting because capital availability conditions determine runway. Reported commitments cannot be tested as a percent of audited turnover or net worth without those denominators.

Disclosure sufficiency, legal materiality, timing and contractual remedies require counsel. No material adverse change determination is made without a signed contract.

Policy baseline and impact channels

Review nonprofit board rights, PBC purpose, related-party terms, copyright and privacy litigation, and independent safety and incident reporting.

Case	Transmission and evidence
Status quo	Hold the base operating assumptions. Identify existing obligations and rights.
Adopted or disclosed change	Verify effective dates and contractual scope. Trace pricing, volume, compliance expense and capex.
Delayed implementation	Shift the timing of cash costs and adoption. Do not assume delay eliminates cumulative cost.
Stricter downside	Stress lower pass-through, higher compliance or capacity expense, and lower retention.

Translate verified policy or contract conditions to a dated cost and cash schedule. A firm-level NPV is withheld until forecast cash flows and enforceable obligations are available.

6F Operational Technical and Financing Diligence

Verify closing conditions and cash receipts separately from commitments. Reconcile priority rights and convertibles, then model contracted payments by quarter. No sponsor deal is assumed.

No control transaction is assumed. The sponsor template therefore serves as an evidence checklist.

Transaction item	Status	Required evidence
Entry EV and equity price	Unassigned	Signed price and cash, debt, lease and preferred-security bridge.
Sponsor equity and rollover	Unassigned	Sources and uses, management rollover and dilution.
Debt structure	Unassigned	Commitments, covenants, availability and downside coverage.
Fees and exit multiple	Unassigned	Transaction cost schedule and dated exit evidence.
MOIC and IRR	Withheld	Verified equity cash flows, exit proceeds and holding period.

Debt capacity and cash waterfall

Model unrestricted opening cash, operating receipts, capital outflows, contractual payments and refinancing dates by quarter. Set a minimum cash balance. Apply interest and mandatory amortization before discretionary distributions.

Stress utilization, pricing and investment together. Compare interest coverage on operating cash and EBITDA bases. Obtain the contractual definition and any cure rights before interpreting a coverage shortfall as covenant risk.

Value creation and exit

Require audited standalone accounts, signed compute contracts and a fully diluted cap table before proposing a value or allocation.

Tie organic growth to customers and net prices. Tie efficiency to measured unit cost, and working capital to actual collections and supplier timing. Validate public-market liquidity or transfer restrictions before underwriting an exit.

7 Statistical Testing and Quantitative Analysis

The public evidence does not establish a traded return series or audited unit-cost base. This normalized test asks what contribution would be under explicit hypothetical costs.

Case	Revenue index	Compute	Other costs	Contribution
Downside	80	70	45	-35
Illustration	100	55	40	5
Upside	120	50	42	28

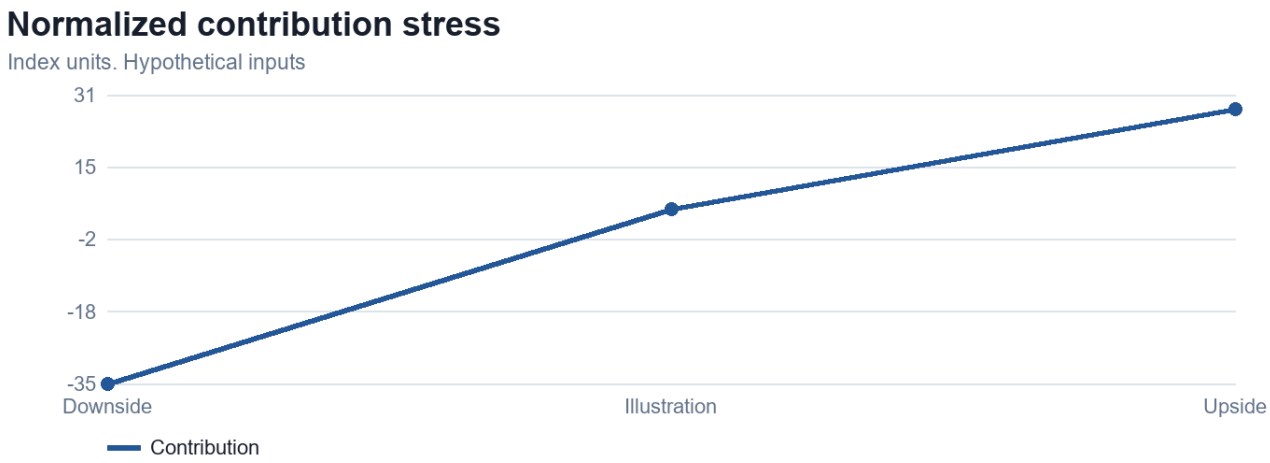


Figure 2. Base revenue is indexed to 100. The values are assumptions rather than reported OpenAI data.

Contribution moves from +5 to -35 in the downside. The change demonstrates sensitivity to weaker monetization and higher costs. The result cannot be translated into dollar earnings, liquidity runway or valuation.

8 Findings Graphs and Stress Tests

The deterministic stress compares revenue and costs under named shocks. It assigns no probabilities. No distribution is imposed without reliable inputs for costs, volatility and dependence.

Check	Result	Reason
Operating identity	Passed	Contribution is revenue less the explicit cost components.
Directional sensitivity	Passed	Higher sales improve contribution and higher compute costs reduce it, all else equal.
Statistical calibration	Unavailable	No verified traded series or adequate operating panel.
Predictive holdout	Withheld	Requires comparable historical operating inputs and observations.

Validation plan

Obtain monthly paid usage, realized price, recognized revenue, costs and contracts. Freeze definitions before a chronological holdout. Compare a baseline against any proposed forecast across cohorts and demand regimes.

Build a quarterly bridge for unrestricted cash. Align financing tranches and supplier payments to enforceable dates. Stress collection lag and utilization together, then identify the first quarter below the minimum cash threshold.

Limits of inference

Require audited standalone accounts, signed compute contracts and a fully diluted cap table before proposing a value or allocation.

Keep the result at the level of arithmetic sensitivity until signed terms and time series can support a statistical estimate. Record the person who verified each input and distinguish reported values from assumptions.

8A Sensitivity and Resolution Evidence

The funding and cost stress is an operating illustration. It cannot be translated into EV or a probability distribution. The chart in Section 7 shows the observable or hypothetical cost exposures used.

Evidence needed	Test	Decision implication
Unit price and paid usage	Bridge price, workload mix, volume and churn.	Validate revenue elasticity.
Compute purchase obligations	Separate minimum commitments from variable spend.	Estimate cash at risk and cancellation options.
Funding and liquidity	Verify net available cash by quarter and test delayed funding.	Identify first minimum-cash breach.

Prioritization

Require audited standalone accounts, signed compute contracts and a fully diluted cap table before proposing a value or allocation.

Treat the verified operating metrics and funding reference points as separate schedules. A model that treats the two as interchangeable would misstate available liquidity.

8B Governance Management and ESG Findings

Review nonprofit board rights, PBC purpose, related-party terms, copyright and privacy litigation, and independent safety and incident reporting.

Workstream	Evidence and review
Registration and ownership	Verify registrant, board appointments, voting rights and fully diluted capitalization.
Contracts and counterparties	Review renewal, capacity, cancellation, security and change-of-control provisions.
Litigation and regulation	Reconcile filings with court and regulator records. Obtain counsel's review of remedies and exposure.
IP and cybersecurity	Verify licenses, contributor rights, data processing, incident history and control ownership.
Tax and compliance	Review transfer pricing, tax audits, sanctions controls and anti-bribery compliance.
Environmental and labor	Review energy and site obligations, supplier labor exposure and material commitments.

7A Closing gate

No legal sign-off is recorded. Track open matters with a dated source, owner and materiality threshold. Compare enforcement and settlement outcomes with cash capacity.

8 Management Due Diligence

Evaluate deployment, monetization and safety performance against documented milestones. Confirm Foundation approval rights and the reporting arrangements available to investors. A definitive management rating requires independent interviews and records.

A definitive management rating is withheld pending independent interviews and documentary evidence. Assess prior forecasts against delivery and compare incentive metrics with cash returns, product resilience and risk controls.

Succession and decision rights

Confirm approvals for new capital, strategy and related-party contracts. Review executive succession, employee retention and whether minority investors receive information needed to challenge material decisions.

9 Risk Register and Resolution Mechanisms

ID / module	Materiality	Resolution	Owner / timing
FIN-01 / 6A	High	Reconcile recurring earnings and cash before pricing.	Finance / before committee
MOD-01 / 6B	High	Rebuild or withhold the valuation until inputs tie to evidence.	Model lead / before committee
EVT-01 / 6C	Medium	Treat the event as context. Re-test against a sector benchmark when supported.	Quant / before committee
NWS-01 / 6D	High	Escalate for contract or filing review and revise cash assumptions if supported.	Research / before committee
POL-01 / 6E	High	Model verified compliance or distribution changes separately before underwriting.	Legal / before committee
OPS-01 / 6F	High	Obtain capacity and obligations schedules, then stress funding.	Operations / before committee

Each ID links to the quantified finding in Section 2 and the test in its source module. No contractual protection is assumed to have been negotiated.

9A Hypothesis Disposition

Hypothesis	Disposition	Reason or next evidence
H1 Earnings quality	Open	Reported figures can be reconciled within the stated perimeter. Sustainability still requires underlying records.
H2 Model linkage	Open	FCFF and valuation checks cover the available operating model. Three-statement linkage is untested.
H3 Event attribution	Unavailable	No verified traded series.
H4 Materiality screen	Escalate	Quantitative and qualitative triage supports further review. Counsel has not concluded legal materiality.
H5 Policy sensitivity	Scenario only	Verified implementation, pass-through and cash-flow terms remain open.
H6 Downside funding	Open	Obtain signed obligations and available financing before testing coverage.

Risk	Likelihood	Impact	Mitigation	Owner
Cash runway	High	Additional funding needs	Obtain audited cash and obligations	Treasury
Unit economics	High	Margin and retention	Verify workload-level contribution	Commercial
Control rights	High	Investor protections	Review board, security and information rights	Legal
Revenue slowdown	Medium	Growth and cash	Run a channel-level downside	Finance
Margin compression	High	Cash conversion	Reconcile unit costs	Finance
Valuation compression	Medium	Exit or entry basis	Stress price and capital structure	Research
Estimation error	High	False precision	Independently recalculate inputs	Risk

Ratings are qualitative judgments. Quantify cash exposure only after verifying obligation timing, recoveries and the relevant downside assumptions.

10 Conclusion and Recommendations

FURTHER WORK REQUIRED. Committee disposition: defer. No entry price, required transaction return or capital allocation is proposed.

A broad distribution base creates room for subscription, enterprise and API monetization. The underwriting case depends on contribution margin after compute, recurring customer spend and funding against contractual capacity.

High usage and committed capital can coexist with negative cash flow, declining unit pricing, and high dependence on a small number of infrastructure partners.

Require audited standalone accounts, signed compute contracts and a fully diluted cap table before proposing a value or allocation.

Priority	Recommended work	Owner	Timing
1	Reconcile the financial evidence to normalized operating and cash performance.	Finance	Before price
2	Obtain audited standalone statements, signed compute commitments, a fully diluted cap table and a financing-to-cash reconciliation.	Deal lead	Before committee
3	Resolve contracts, policy exposure and governance with signed evidence.	Legal	Before commitment
4	Reproduce the downside and record model limitations.	Model lead	Before sign-off

Methodological contribution

Linking a dated disclosure and financial evidence to explicit hypotheses, stress tests and named resolution actions lets a later reviewer distinguish an observable fact from an assumption that still needs testing.

Decision input	Finding
Evidence-supported strength	Wide distribution and several paid channels.
Material weakness	Public disclosure lacks verified standalone cash flow and cohort economics.
Unresolved questions	Audited consolidated accounts and cash flow. Compute economics and customer cohort retention. Signed funding terms, cap table and partner obligations.
Deal breaker	Require audited standalone accounts, signed compute contracts and a fully diluted cap table before proposing a value or allocation.
Condition precedent	Obtain audited standalone statements, signed compute commitments, a fully diluted cap table and a financing-to-cash reconciliation.
Exit	Public-market exit requires liquidity. Private exits require verified rights and timing.

Reopen the decision after the primary gate clears and an independent reviewer reproduces the downside case.

11 Appendices and Reproducibility

Research cutoff 6 November 2026. Source dates and reporting periods are identified below. Confidence refers to the scope of the evidence and does not imply independent sign-off.

Evidence class	Reviewer role	Status
Annual and interim financials	Finance diligence	Audited inputs where available. Interim figures unaudited. Independent sign-off pending.
Issuer and counterparty claims	Research desk	Public evidence reviewed. Contract and commercial verification pending.
Scenario and market-risk tests	Model reviewer	Recalculated with disclosed inputs. External validation pending.
Legal, tax and governance	Legal diligence	Public-source review only. Signed agreements and counsel review pending.

Reproduce the analysis

Record the filing date, reporting period and units. For TTM, add current interim results and subtract comparable prior interim results from the latest fiscal year. Calculate FCFF as after-tax EBIT plus depreciation less cash capex and incremental working capital.

For market data, align complete adjusted months and calculate simple returns. Freeze training coefficients before comparing holdout errors. Retain the bootstrap seed and the exact split. For companies without a verified public series, reproduce the stated cost stress only.

Companion workbook: openai-due-diligence.xlsx. The workbook contains the existing base valuation model where applicable. This paper adds the trailing-period, joint-shock and market-risk analyses.

12 References

E01 March 31 funding announcement

E02 Amazon Q3 2026 10-Q · OpenAI arrangements

E03 OpenAI structure disclosure

E04 2026-04-27 / Amended Microsoft agreement